Table 7.5 Moving Average (MA) Performance (1/1976–12/2014)

MA RULE	SPX	EAFE	REIT	GSCI	LTR
CAGR	11.56%	10.62%	13.85%	7.88%	8.43%
Standard Deviation	12.00%	12.45%	12.17%	15.19%	7.11%
Downside Deviation	9.38%	9.35%	9.29%	11.35%	4.85%
Sharpe Ratio	0.57	0.49	0.74	0.26	0.50
Sortino Ratio (MAR = 5%)	0.72	0.63	0.95	0.33	0.70
Worst Drawdown	−23.58%	−21.07%	−20.78%	−52.38%	−11.26%
Worst Month Return	−21.58%	−14.01%	−15.24%	−14.41%	−8.41%
Best Month Return	13.52%	14.06%	12.60%	22.94%	14.10%
Profitable Months	72.01%	72.65%	72.22%	72.65%	71.79%

TMOM and MA Horse Race

OK. So it looks like TMOM and MA have some empirical horsepower…but which is better? We compare the performance between TMOM and MA in Table 7.6. Table 7.6 shows that both strategies generate favorable Sharpe and Sortino ratios across the asset classes. To identify a "winner" between TMOM and MA, we consider it a win if the Sharpe and Sortino are higher; we consider it a loss if the Sharpe and Sortino are lower; and we consider it a tie if the Sharpe and Sortino come to mixed conclusions (e.g., Sharpe is higher but Sortino is lower). Based on this analysis, TMOM wins on all the asset classes, save EAFE, giving the TMOM system an edge in the horse race between TMOM and MA. However, despite a small edge for TMOM, the reality is that the risk-adjusted metrics are similar across the board for both TMOM and MA, and both systems add value as a risk-management tool.